Countable, Exempt, Joint Owner, Beneficiary, Estate Recovery

Nineteen words you'll meet when you ask about Dad's assets, each in plain language, and what to write down about it.

Countable, exempt, non-countable, estate recovery. You read one article about Medicaid and a parent's home and came away with a list of words to look up. These are nineteen you're likely to meet, each explained in general terms, from a public source where one applies, with what to write down about Dad's own situation when it comes up.

The explanations are for following the conversation. They aren't for working out how anything Dad owns would be treated. That depends on his state and his situation, and it is for a professional to say.

The program

Medicaid

A joint federal and state public assistance program for financing health care for low-income people. Unlike Medicare, the federal long-term care site says, it does pay for custodial care in nursing homes and at home. [1] [2]

WRITE DOWN Any question you have about it, for your Medicaid planner. Dad isn't applying for anything.

Eligibility

Whether a person meets the program's rules. The rules are based on federal requirements but vary from state to state, and once a state finds a person eligible it makes an additional determination of whether the person qualifies for long-term care services. [2]

WRITE DOWN Anything you've been told about who qualifies, and who told you. Mark it “to confirm.”

What Dad owns

Asset inventory

A dated list of what a person owns: the home and other real estate, cash and savings, investments, retirement accounts, insurance and annuities, personal property and business interests.

WRITE DOWN The list itself, with today's date at the top and “not noted” wherever there's a blank.

Countable asset

An asset whose value is counted in determining financial eligibility for Medicaid. Which assets are counted depends on the state and the situation, so this sheet gives no list. [1]

WRITE DOWN What Dad owns, unsorted. Sorting is for someone who knows his state.

Exempt (non-countable) asset

The other side of the same idea: an asset that isn't counted. Which ones those are depends on the state and the situation too.

WRITE DOWN Who told you a particular thing is exempt, and whether they know Dad's state.

Primary residence

A person's main home. How a home is looked at depends on who owns it, who lives in it, the family's circumstances and the state.

WRITE DOWN Whose names are on the deed, copied from the deed itself, and who lives in the house.

Annuity

A contract in which a person gives an insurance company money that is later distributed back to the person over time. [1]

WRITE DOWN Whether Dad has one, the company, and where the contract is kept.

Whose name is on it

Joint owner

One of two or more people who own something together. In a joint bank account, the Consumer Financial Protection Bureau explains, the money is jointly owned and the joint account holder automatically gets it when the other owner dies. [3]

WRITE DOWN Every name on each account and on the deed, exactly as printed.

Beneficiary

A person named on a beneficiary form for an account or an insurance policy. What a designation does in Dad's situation is a question for a professional.

WRITE DOWN Who is named, on which account or policy, and the date on the form. “Not sure” is a fair entry.

Trust

A legal arrangement in which a trustee makes decisions about the money or property in it. The Consumer Financial Protection Bureau calls trusts complex legal arrangements that take an attorney to set up. [3] [4]

WRITE DOWN Whether Dad has one, its name and date, the trustee's name, and where the document is.

Transfer of assets

The federal long-term care glossary's term for giving away property for less than it is worth, or for the sole purpose of becoming eligible for Medicaid. Medicaid has rules about such transfers, and how they would apply to any particular gift is a question for an elder law attorney. [1] [5]

WRITE DOWN Any gift or transfer Dad has made or the family has talked about: what, to whom, and when.

If Dad is married

Community spouse

The spouse of a nursing home resident who is applying for or receiving Medicaid long-term care services. It's a word from the rules, and it may never describe anyone in your family. [1]

WRITE DOWN Whether Dad is married, and which things are in whose name.

Spousal impoverishment provisions (spousal protections)

Federal provisions meant to keep the spouse who is still living at home from being left with little or no income or resources. Under them, a certain amount of a couple's combined resources is protected for that spouse. How much is for a professional to say. [6]

WRITE DOWN “How would this apply to us?” on your list of questions for your Medicaid planner or an elder law attorney.

Later on

Estate planning

Wills and living trusts that direct where a person's assets go after death. The federal long-term care site lists it among the things elder law attorneys do, and Justice in Aging notes that it typically requires help from a lawyer. [7] [8]

WRITE DOWN Whether Dad has a will, its date, and where it's kept.

Estate recovery

The process by which Medicaid recovers an amount of money from the estate of a person who received Medicaid. The amount cannot be greater than the amount Medicaid contributed to the person's medical care. [1]

WRITE DOWN “Estate recovery in Dad's state” on your list of questions for an elder law attorney.

Probate

A legal process used to settle an estate's affairs after a person's death, including transferring assets and settling outstanding debts. [8]

WRITE DOWN Nothing to work out. Note the name of any attorney Dad has used, and what for.

Who answers what, and when

Elder law attorney

A lawyer who deals daily with the issues surrounding old age. The federal long-term care site says consulting one can be the first step in the advance care planning process. [7]

WRITE DOWN Your legal questions, in one list, ready for that conversation.

Licensed financial professional

Someone licensed to advise on money or to sell financial products. The Consumer Financial Protection Bureau notes that not all titles and credentials are the same, and that a family can check the status of an adviser's license and the adviser's professional history. [9]

WRITE DOWN The name, title and license of anyone advising Dad about money.

Review trigger

An event your family agrees would be the moment to take the list out again: a change in health, a move, a sale of property, a death in the family.

WRITE DOWN Your own short list of them, and the date you last looked at the inventory.

What this sheet doesn't do

It explains words. It doesn't say which of Dad's assets would be counted, how his house or any account would be treated in his state, or what he may keep. That's for your Medicaid planner and the other professionals who look at his situation. Nothing here is legal, financial or tax advice.

Ready for the next step?

You can follow the conversation now, and you know what to note when a word comes up. The planning interview asks about your family's own situation in plain language and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare information), Glossary
2. Administration for Community Living (LongTermCare information), Medicaid
3. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options (Managing Someone Else's Money)
4. Consumer Financial Protection Bureau, Leaving your home to children or heirs (Older Americans Housing Guide)
5. Medicaid.gov (Centers for Medicare & Medicaid Services), Eligibility Policy
6. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
7. Administration for Community Living (LongTermCare information), Will I Need a Lawyer?
8. Justice in Aging, Mitigating the Harmful Effects of Medicaid Estate Recovery: Strategies for State Advocates
9. Consumer Financial Protection Bureau, Know your financial adviser